

2.

CASE #	CASE NAME	HEARING NAME
CVPS2408394	DESERT HEALTHCARE DISTRICT VS ALL PERSONS INTERESTED IN THE MATTER HEREIN DESCRIBED LEASE PURCHASE TRANSACTION AND RELATED CONTRACTS AND OBLIGATIONS OF DESERT HEALTHCARE DISTRICT WITH RESPECT TO DESERT REGIONAL MEDICAL CENTER, INC.	DESERT HEALTHCARE DISTRICT AND DESERT REGIONAL MEDICAL CENTER, INC.'S JOINT NOTICE OF MOTION AND MOTION FOR PROTECTIVE ORDER

Tentative Ruling: Granted in part.

Responding party to provide notice pursuant to CCP 1019.5.

Plaintiff Desert Healthcare District filed a Complaint for Validation on December 31, 2024 against all persons interested in the matter of a certain lease to purchase transaction and related contracts and obligations of Desert Healthcare District with respect to Desert Regional Medical Center. The Complaint seeks to validate the action taken by Plaintiff regarding the lease purchase agreement (LPA) and the actions of District's Board in approving a fairness opinion from an independent consultant and approving the LPA and ordering that a measure relating to approval of the LPA be placed on the ballot (Measure AA), which was approved by the voters by a margin of 72.34% .

The matter is currently set for a long cause court trial on September 4, 2026.

Leading up to the aforementioned court trial, the parties have had ongoing discovery disputes in this case. Specifically, the scope of discovery that should be permitted in the underlying validation action. Now DHD and DRMC move the court for a protective order to prohibit the depositions of the District's and Medical Center's most qualified persons. Moving parties assert that this court has made clear that validation actions are typically limited to a review of the administrative record and that discovery into evidence outside of the record is only permitted in exceptional circumstances which are not present here. Moving parties assert that Eisenhower has not met its burden to show any circumstances that justifies discovery outside of the administrative record. Eisenhower's deposition notices seek information that is outside the scope of what the Court has already deemed relevant to this action, and would result in unwarranted annoyance and oppression, undue burden and expense, and clearly seek information protected by the attorney-client privilege, common-interest doctrine, and work product doctrine.

In opposition, Eisenhower asserts that the court ruled it is entitled to discovery and the deposition notices cover narrow targeted topics. Eisenhower also asserts that Eisenhower unilaterally cancelled the scheduled depositions and untimely filed this motion. Eisenhower asserts that Plaintiffs' refusal to attend duly noted depositions without a stay or court order merits denying the motion. Eisenhower further asserts that Plaintiffs fail to demonstrate good cause for protective order on the three narrowly tailored topics: 1) The Amended Interrogatory Responses, which the court found relevant, 2) The Administrative record and the compilation of the administrative record, and 3) trial witnesses. Lastly, Eisenhower asserts that a blanket prohibition on all depositions is unjustified and without precedent.

In reply, Plaintiffs reassert that a validation action is limited to the administrative record and Eisenhower has failed to show that depositions should be permitted in this action. Plaintiffs assert that topic 1 improperly seeks to examine the counsel-driven process for preparing interrogatory responses and is unnecessary because the interrogatory speaks for itself. As to topic 2, Plaintiffs assert it improperly seeks a PMQ deposition on record compilation even though the Amended administrative record was certified by a District employee. As to topic 3, Plaintiffs assert that it seeks trial strategy and is unnecessary in a validation action. Should the court follow Plaintiffs' request the trial will be based solely on the administrative record without oral testimony. However, to the extent that the court permits witness testimony at trial, then the parties will exchange pre-trial witness lists at the appropriate time as governed by the local rules.

Protective Order

Code of Civil Procedure section 2025.420 authorizes the Court, "[b]efore, during, or after a deposition," to make "any order that justice requires" to protect a party or deponent from unwarranted annoyance, embarrassment, or oppression, or undue burden and expense." (CCP §2025.420(a)-(b).)

Topic 1

As this court has previously addressed, discovery is not disallowed in a validation action. However, the only relevant evidence subject to discovery would be anything that could support a finding that the action taken was invalid/unlawful. The court previously granted Eisenhower's motion to compel further response to interrogatory number 21 that requested DRMC to state all facts in support of its contention that any antitrust concerns in the 2027 Lease Purchase Agreement are "outweighed by its benefits to the relevant market."

Plaintiffs amended their interrogatory response and now Eisenhower seeks to depose the PMQ regarding the preparation of the amended response, including any documents, communications, or information referenced in the amended response and all documents, communications or information relied upon in preparing the amended response.

As the issue of potential antitrust concerns is discoverable, topic 1 is open to further discovery to inquire into the basis for the amended response and how antitrust issues were addressed and how it was determined that such concerns were outweighed by the benefits to the relevant market.
DENIED

Topic 2

As Plaintiffs assert that this validation action hinges on the administrative record, its contents and preparation are a proper basis for further discovery in this action. Accordingly, the court denies the motion for a protective order as to Topic 2.

Topic 3

Eisenhower fails to show good cause why a PMQ deposition is needed with respect to potential trial witnesses and topics with which they would testify. The court's rules set forth the process for the disclosure of trial witnesses. GRANTED.